

FIGURE 8—Asset Class Real Returns, 1900-2014

	Inflation	Bills	Bonds	Equity
Australia	3.8%	0.7%	1.7%	7.3%
Belgium	5.2%	-0.3%	0.4%	2.7%
Canada	3.0%	1.5%	2.2%	5.8%
Denmark	3.8%	2.1%	3.3%	5.3%
France	7.0%	-2.8%	0.2%	3.2%
Germany	*	-2.4%	-1.4%	3.2%
Ireland	4.2%	0.7%	1.6%	4.2%
Italy	8.2%	-3.5%	-1.2%	1.9%
Japan	6.8%	-1.9%	-0.9%	4.1%
Netherlands	2.9%	0.6%	1.7%	5.0%
South Africa	4.9%	1.0%	1.9%	7.4%
Spain	5.7%	0.3%	1.8%	3.7%
Sweden	3.5%	1.9%	2.8%	5.8%
Switzerland	2.2%	0.8%	2.3%	4.5%
UK	3.9%	0.9%	1.6%	5.3%
US	2.9%	0.9%	2.0%	6.5%
Max	8.2%	2.1%	3.3%	7.4%
Median	3.9%	0.7%	1.7%	4.8%
Average	4.5%	0.0%	1.3%	4.7%
Min	2.2%	-3.5%	-1.4%	1.9%

Source: Morningstar, Elroy Dimson, Paul Marsh, Mike Staunton, *Triumph of the Optimists*, Princeton University Press 2002, Credit Suisse Global Investment Returns Sourcebook 2015

One would think that the math above would make the decision easy – just put all your money in stocks! While stocks outperformed the returns of bonds and bills, stocks are not without their own risks. At least two countries had their equity markets wiped out when the government shut down the capital markets. No wonder people are so wary of investing in Russia and China even today.

Another risk is that stocks can go for a really long time underperforming other asset classes, such as bonds. It is easy to look at the data and assume you can wait out any stock market underperformance—at least until it happens to you.

In his 2011 [“The Biggest Urban Legend in Finance,”](#) Rob Arnott discusses a 30-year underperformance of stocks vs. bonds: